



MARKET MONITOR

No.38 – May 2016

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Roundup

Production uncertainty, largely driven by unsettling weather conditions, coupled with strong trade activity underpinned international prices of AMIS crops, in particular of soybeans and maize. For soybeans, prospects for the remainder of the 2015/16 season have deteriorated since April, mostly because of unfavourable weather conditions affecting harvests in South America. For wheat, maize and rice, the underlying supply and demand fundamentals continue to point to a comfortable outlook in 2016/17.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▼
Maize	▲	▼
Rice	■	▼
Soybeans	▼	■

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Visit us at: www.amis-outlook.org



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World supply-demand outlook

- **Wheat** production forecast for 2016 increased on improved prospects in the EU, Russian Federation and Ukraine.
- Utilization in 2016/17 to rise only marginally, hampered by a projected 1.8 percent contraction in feed use.
- Trade in 2016/17 (July/June) to expand marginally on higher import requirements by a few countries, especially Morocco.
- Stocks (ending in 2017) to decline by less than it was forecast last month on expectation of larger inventories in the Russian Federation and Ukraine.

in million tonnes

	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 fcast		2014/15 est.	2015/16 fcast	2015/16 est.	2016/17 fcast
		7-Apr	5-May		12-Apr		28-Apr
Production	733	713	717	725	733	734	717
Supply	933	916	920	919	948	935	933
Utilization	723	723	724	705	709	719	715
Trade	153	153	154	164	163	154	153
Stocks	203	194	195	215	239	215	218

- **Maize** production to increase by 1.2 percent in 2016 despite a falling output in southern Africa.
- Utilization in 2016/17 projected to expand by 2.4 percent, driven by relatively strong growth in feed and industrial use.
- Trade in 2016/17 (July/June) to drop slightly, pressured by lower import demand in the EU.
- Stocks (ending in 2017) heading for a 5.0 percent decline, led by large projected drawdowns in China and Brazil.

	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 fcast		2014/15 est.	2015/16 fcast	2015/16 est.	2016/17 fcast
		7-Apr	5-May		12-Apr		28-Apr
Production	1003	1014	1015	1013	972	973	998
Supply	1220	1232	1233	1188	1180	1181	1204
Utilization	1002	1024	1026	980	971	975	996
Trade	131	129	130	142	122	129	127
Stocks	218	205	207	208	209	206	208

- **Rice** production forecast for 2016 unchanged, still predicting a modest 1 percent recovery from the reduced output in 2015.
- Utilization anticipated to increase by 1.5 percent and to surpass production for the second consecutive season.
- Trade prospects for 2017 lowered slightly, suggesting another y/y contraction.
- Stocks in 2017 to fall by 3 percent, with much of the decline concentrated in the major exporting countries.

	FAO-AMIS			USDA		IGC	
	2015/16 est.	2016/17 fcast		2014/15 est.	2015/16 fcast	2015/16 est.	2016/17 fcast
		7-Apr	5-May		12-Apr		28-Apr
Production	490	495	495	479	471	473	485
Supply	664	664	664	586	574	582	583
Utilization	496	503	503	483	484	485	489
Trade	44.9	44.1	44.0	44.0	41.6	41.8	41.6
Stocks	169	164	164	104	90	98	94

- **Soybeans** 2015/16 production curtailed by 4.9 million tonnes as adverse weather conditions hamper harvests in South America, especially in Argentina.
- Utilization lowered marginally from last month, not altering the anticipated y/y expansion of 5 percent.
- Trade forecast for 2015/16 raised slightly on stronger import demand by China.
- Stocks (2015/16 carry-out) lowered by 3.3 million tonnes as South American countries are expected to release inventories to meet their export commitments.

	FAO-AMIS			USDA		IGC	
	2014/15 est.	2015/16 fcast		2014/15 est.	2015/16 fcast	2015/16 est.	2016/17 fcast
		7-Apr	5-May		12-Apr		28-Apr
Production	320	322	317	320	320	318	319
Supply	352	367	362	381	398	356	357
Utilization	302	318	317	300	316	318	325
Trade	127	131	132	126	132	130	133
Stocks	45	48	45	78	79	38	32

FAO-AMIS monthly forecast

For latest revisions to FAO-AMIS monthly forecasts for 2016/17 see next page.

To review and compare data, by country and commodity, across the three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2016/17*

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	4187	1054	1309	1000	1536	637	975	1263	1057	1870
Total AMIS	3406	1040	810	800	2141	1140	1600	2305	900	1897
Argentina	-	-	-	-	-	-	-	-	-	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-386	200	14	-200	-	1131	300	-69	500	500
Canada	-	-	-	-	-	-	-	-	-100	-
China Mainland	-	200	-	-	200	-	500	-	-	1500
Egypt	-500	100	325	-	-725	-	-	-	-	-
EU	1000	-	1000	-	-500	-	-	-	-	-
India	-2000	200	-150	-1000	-1200	-	-	-	-	16
Indonesia	-	150	192	-	-100	-	-	200	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	90	45	-	45	-	-	-	-	-
Mexico	-	-	-50	-	50	-	500	500	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	100	-	-	200	-50	70	-	200
Rep. of Korea	9	100	109	-	-50	-	-200	-200	-	-
Russian Fed.	2292	-	-	500	1797	400	-	400	-	-
Saudi Arabia	-20	-	-40	-	70	-	-	-	-	-
South Africa	-	-	-	-	-	-111	50	89	-	-150
Thailand	-	-	-	-	-	-100	-	-100	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	3011	-	-	1000	2054	-380	-	300	500	-1169
US	-	-	-735	500	500	-	-	615	-	1000
Viet Nam	-	-	-	-	-	-	500	500	-	-

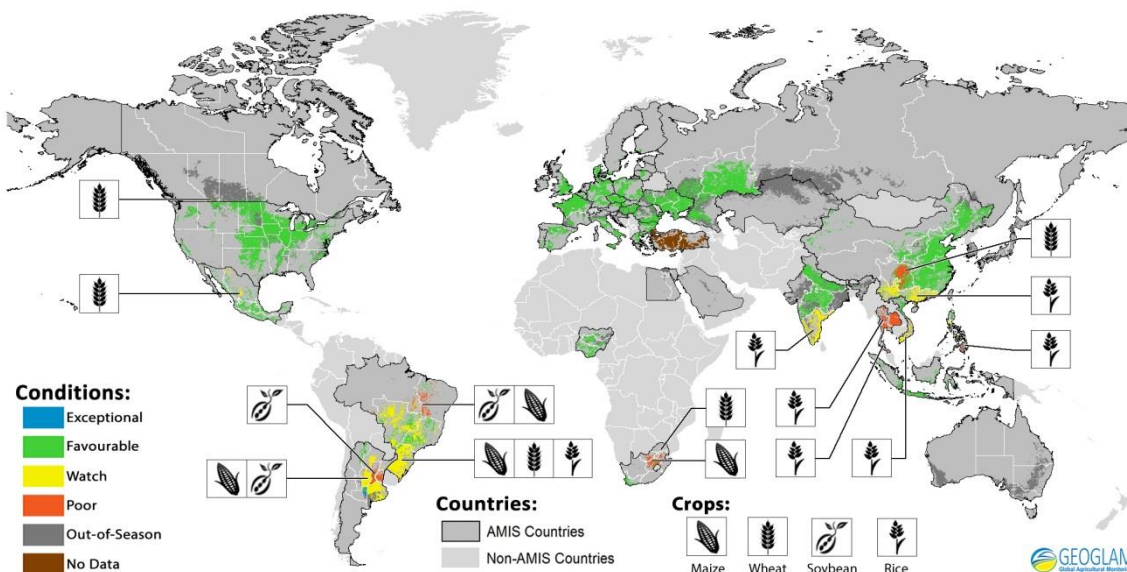
	RICE					SOYBEANS*				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	-91	-93	-8	-99	-75	-4855	295	-925	298	-3286
Total AMIS	-204	-100	-167	-100	-9	-4045	395	-677	298	-2899
Argentina	-48	-	-18	-	-30	-2500	-	-700	-	-2000
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-33	-	-	-	-39	-1518	-	-470	-	-298
Canada	-	-	-	-	-	-	-	-100	100	-
China Mainland	-	-	-	-	-	-	500	500	-	-
Egypt	-	-	-	-	-	-	-	20	-	-20
EU	-	-	-	-	-	-	-	-	-	-
India	-	-	-10	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-60	102	-2	-120
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-50	-	-60	-	-
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-100	-105	-	60	10	-45	18	-	-53
Thailand	-	-	-	-100	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-	-	-	-	13	-	13	-	-
US	-	-	-16	-	-	-	-	-	200	-408
Viet Nam	-124	-	-24	-	-	-	-	-	-	-



Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report. *Soybean revision refer to 2015/16 season.

Crop monitor

Crop conditions in AMIS countries (as of April 28th)



Crop condition map synthesizing information for all four AMIS crops as of April 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, conditions for winter wheat continue to be largely favourable with improved prospects in the Russian Federation and Ukraine. Spring wheat planting has begun in the Russian Federation and China. The southern hemisphere is currently out of season.

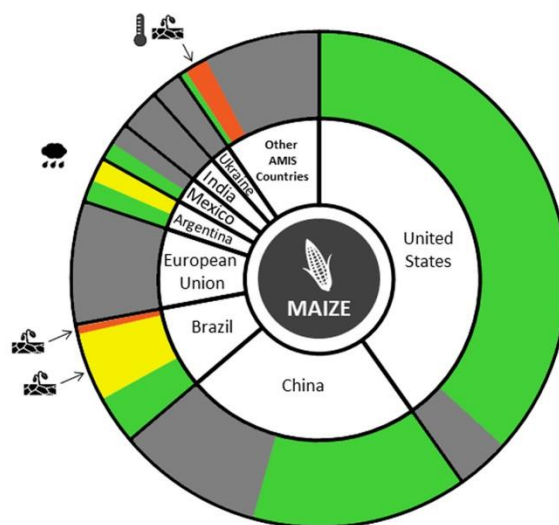
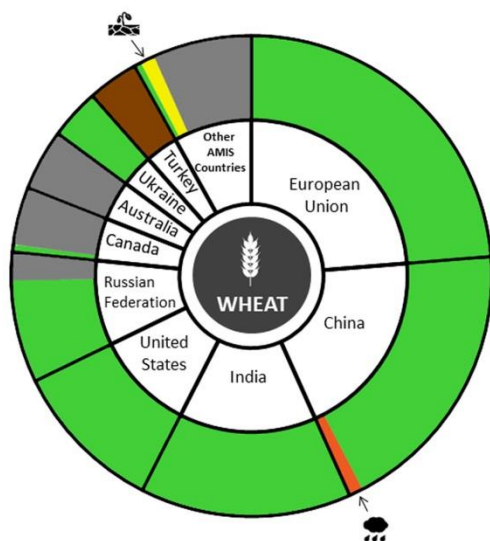
Maize - In the southern hemisphere conditions are mixed. In Brazil conditions deteriorated due to dryness affecting the summer planted crop and conditions remain poor in South Africa as the season draws to a close. In the northern hemisphere planting has begun under generally favourable conditions.

Rice - El Niño continues to impact the rice crop in parts of Southeast Asia, most notably in Thailand where conditions remain poor as harvest progresses. Production is also expected to decrease in southern Viet Nam and the Philippines. Crop conditions have improved in Indonesia.

Soybeans - In the southern hemisphere, crop conditions are mixed as harvest progresses. In Argentina crop conditions deteriorated due to heavy rainfall, which caused lower yields, reduced grain quality and area loss. In Brazil crop conditions are favourable over the main producing regions but mixed in the northern areas due to drought. The northern hemisphere is currently out of season.

El Niño declining

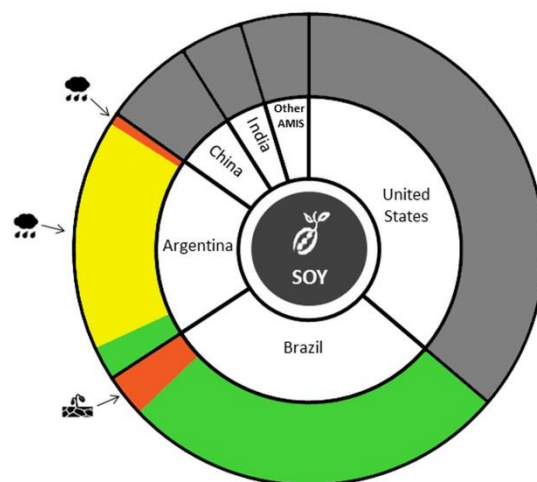
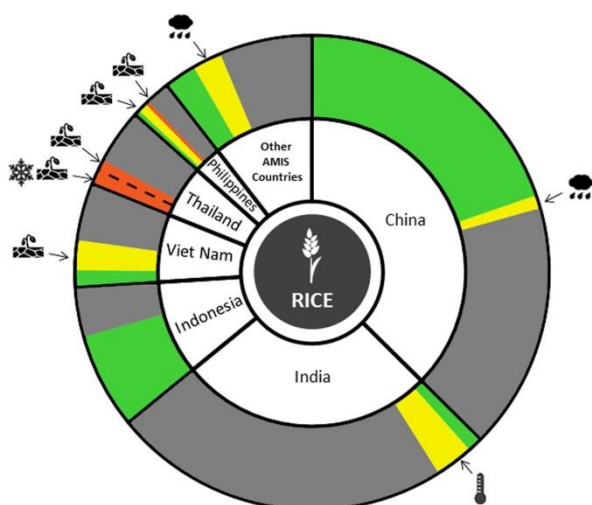
The El Niño of 2015-2016 moderated in strength in April and should be replaced by neutral conditions in the coming months. Consistent with this trend in the Pacific, drought conditions are expected to persist through May and June in Southeast Asia and northern South America, accompanied by above-average temperatures that increase the impact of the dryness. In the same period, southeast Brazil and Uruguay should see continuation of above-average rainfall. However, by July no further effects of El Niño are expected, and the event will come to a close. Looking beyond the end of the northern hemisphere growing season, there are increasing odds of a transition to La Niña conditions by November. Model projections put the chance of that occurring at about 60 percent, which is double the long term average probability of La Niña in that month.

Conditions:**Drivers:****Wheat**

In the **EU**, conditions are generally favourable. In the **US**, winter wheat conditions are favourable throughout as the crop enters reproductive stages. In **China**, winter wheat conditions are generally favourable except in the Chongqing area where conditions are poor due to excess rainfall. Spring wheat planting has begun in the north. In the **Russian Federation**, conditions for winter wheat are favourable owing to good soil moisture from snow melt. Spring wheat planting has begun in the Volga region. In **Ukraine**, conditions are favourable owing to the beneficial rainfalls and favourable temperatures. Crop conditions have improved significantly, and there could be prospects for a good harvest. In **Canada**, winter wheat conditions are favourable in most eastern and central growing areas. In the western regions, warm temperatures have advanced cropping in British Columbia but the western prairies are very dry and the continuation of these conditions will likely result in a delay of early season field work and seeding of spring wheat. In **India**, harvest is almost complete for the winter-planted crop and conditions are favourable.

Maize

In **Brazil**, conditions for the summer-planted maize (the larger producing season) deteriorated since last month due to reduced rainfall, resulting in mixed conditions. Harvest is ongoing for the spring-planted crop and conditions in the main producing areas are favourable. In the northern and northeastern regions, conditions are mixed due to drought. In **Argentina**, the harvest is progressing very slowly owing to adverse weather conditions. The crop is generally in good condition, except in the Litoral region where excess water is affecting yield and grain quality. In **South Africa**, conditions remain poor in the western and central producing regions due to persistently dry and hot conditions throughout the season resulting in decreased planted area and reduced yields. In the **US**, planting began and conditions are good throughout. In **China**, conditions are favourable for the spring-planted crop. In **Ukraine**, planting is ongoing under favourable conditions. In **Mexico**, planting is almost complete for the autumn-winter planted crop. The spring-planted crop is emerging under favourable conditions. In **Nigeria**, conditions are favourable and the crop is in planting to early vegetative stages.

Conditions:**Drivers:****Rice**

In **India**, conditions remain mixed for the rabi crop due to a lack of rainfall and high temperatures. In **China**, conditions are generally favourable except for in a small producing area in the southern region. In **Thailand**, harvest has begun and conditions continue to be poor. Yields are expected to be down due to insufficient water for cultivation attributed to El Niño and pest outbreaks throughout the season. In **Viet Nam**, harvest continues for the winter-spring dry season crop and conditions are favourable in the northern areas. However, there is concern in the southern region due to low levels of the Mekong River and saltwater intrusion. In **Indonesia**, conditions for the wet season crop improved from last month owing to a combination of sufficient irrigation and sunlight. In the **Philippines**, the dry season crop conditions are favourable in the north but mixed in the south due to insufficient water, intense heat and pest outbreaks. In the **US**, planting has begun and conditions are favourable. In **Brazil** excessive rainfall delayed harvest, decreased grain quality and reduced yields in the southern region, which is the main producing region. The crop is in favourable conditions in the rest of the country. In **Argentina**, harvest is progressing slowly due to unfavourable weather conditions with the crop negatively affected in some areas by excessive rainfall.

Soybeans

In **Brazil**, harvest is progressing and conditions are favourable in the main producing center-west and southern regions. However, conditions in the north and northeastern regions continue to be mixed due to drought. Yields in these regions are expected decline relative to last year. In **Argentina**, conditions deteriorated since last month and are unfavourable due to excess rainfall. The first crop is negatively impacted by the excess precipitation, in particular in the Litoral regions where there was loss of area, yield and grain quality.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published May 5th 2016

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- On 8 April, **South Africa** raised import duties on wheat by 34 percent to ZAR 1 224.31 (USD 84.56) per tonne, in terms of the existing variable tariff formula. This follows a previous 78 percent raise on 25 September and is the sixth revision since October 2014.
- **Nigeria** approved the release of 10 000 tonnes of wheat from the National Strategic Grains Reserve.
- In **Egypt**, as of 6 April and during the grain procurement period, trading of imported wheat in the domestic market is subject to government permission.

Maize

- On 19 April, **Brazil** opened duty free imports of up to 1 million tonnes of maize from non-Mercosur origins over the next six months period.
- **Indonesia** has limited the volume of maize imports to 1 million tonnes in 2016. Starting on 4 April, the purchasing price of maize was increased by 35 percent to IDR 2 700 per kilogramme (USD 204 per tonne).

Rice

- **Egypt** has banned exports of rice, effective from 4 April.
- **Thailand** continued efforts to clear stockpiled rice and held the third auction in 2016 on 31 March, bringing the cumulative volume sold this year to nearly 1 million tonnes.

Across the board

- On 14 April, **India** launched a pilot project for a National Agriculture Market e-market platform. In its initial phase this unified platform should bring together on a voluntary basis wholesale markets in eight states and trade twenty-five selected commodities, including wheat, rice and maize. The platform allows registered farmers to sell their produce online in any of the eight markets. Minimum Support Prices will apply to cereals, pulses and oilseeds.
- The **Russian Federation** completed intervention purchases of grains for marketing year 2015/16 with 1.7 million tonnes of grain purchased since August 2015. Prices for marketing year 2016/17 are unchanged for all classes of wheat and milling rye under intervention. The intervention price for feed barley is up by 7 percent to RUB 8 000 (USD 120) per tonne and the price for 3rd class maize is increased by 14 percent to RUB 7 900 (USD 119) per tonne.



AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Apr 2016 Average*	% Change	
		M/M	Y/Y
GOI	187	+ 4.9%	- 6.2%
Wheat	164	+ 1.6%	- 13.8%
Maize	179	+ 4.9%	- 1.0%
Rice	151	+ 0.8%	- 7.7%
Soybeans	187	+ 8.2%	- 2.4%

*Jan 2000=100, derived from daily export quotations

Wheat

After a period of two-sided activity, world wheat export prices posted small net gains. While heavy old crop supplies and mostly good prospects for 2016 production continued to weigh on market sentiment throughout April, there was some strengthening of values in the second part of the month. This was partly tied to a rally in the US, where advances were mainly in response to price gains for maize and soybeans. While quotations showed little m/m change in the EU, increases were recorded in Australia owing to unfavourable dryness ahead of planting. Price rises in Russian Federation were partly because of a firmer local currency, which lifted US dollar-denominated values, but support also came from tightening export availabilities in southern regions. Owing to the domestic harvest shortfall, Ethiopia was in the market again for more imports, and after the recent heavy purchases, traders reported some delivery delays caused by port congestion in Djibouti.

Maize

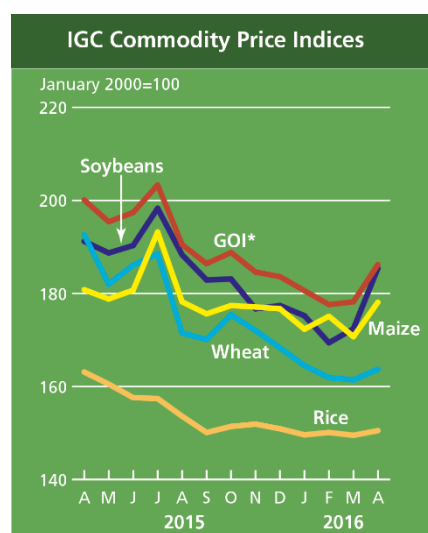
Average export prices moved higher across all major origins in April, underpinned by concerns about tight spot availabilities in South America and with spillover too from sharp gains in the soy complex. Spot values in Argentina were particularly firm, as heavy rains slowed harvesting and disrupted exports. With nearby supplies in Brazil already tight following a recent record pace of shipments, worries about overly dry conditions in central regions added further price support. Despite initially declining on news of larger than expected spring planting intentions, US quotations strengthened across the month. Black Sea values were also firm.

Rice

World white and parboiled rice export values were generally firmer on concerns about the impact of difficult weather conditions on plantings and yields in Asia, with the IGC GOI sub-Index up by almost 1 percent. Dryness and increased salinity levels in the Mekong Delta underpinned prices in Viet Nam, while quotations in Thailand were buoyed by an announcement that 2016/17 main crop plantings, which were likely to be delayed, could be limited to 8.9 million hectares (9.9 million hectares previous year). Although it was reported that the government was seeking to offload about 11 million tonnes of rice from state reserves over the next two months, this had little discernible market impact. Elsewhere, adverse conditions for crops were mildly supportive in India, while excessive precipitation halted fieldwork in Argentina.

Soybeans

Global markets rose sharply over the past month, the IGC GOI sub-Index rising by around 8 percent, to its highest in eight months. Sentiment was buoyed by worsening crop prospects in the southern hemisphere, most notably in Argentina, where heavy rains led to heightened worries about quality and yield potential, while also resulting in severe disruption to harvesting and logistics. Strength in international demand was also supportive, with shipments from Brazil at record levels, while movements in currencies were influential at times. However, overall gains in export values were capped by increased farmer selling and generally ample availabilities.

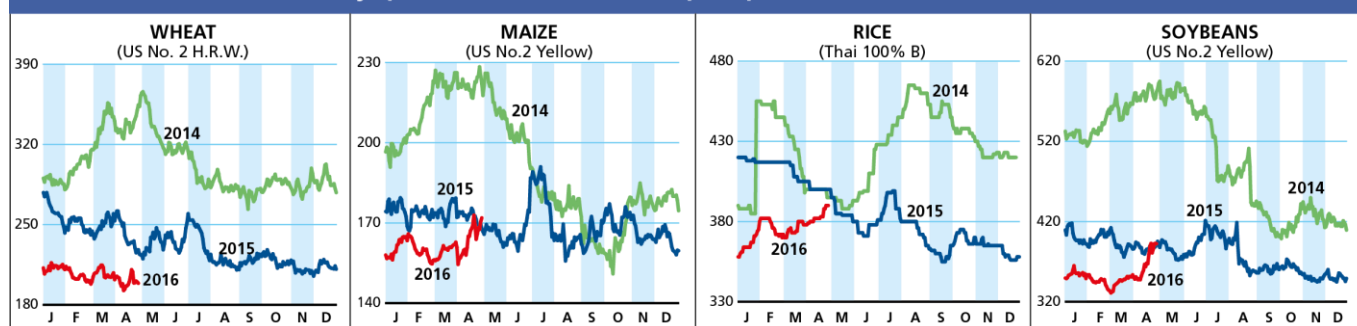


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(. January 2000 = 100)				
2015	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3
	September	186.4	170.1	175.6	150.1	182.9
	October	188.8	175.4	177.4	151.4	183.1
	November	184.6	172.0	177.1	151.9	176.7
	December	183.6	168.3	176.7	150.9	177.4
	2016 January	180.6	164.5	172.3	149.6	175.2
	February	177.6	161.9	175.1	150.1	169.4
	March	178.2	161.4	170.7	149.5	172.4
	April	186.2	163.7	178.1	150.5	185.4

Selected export prices and price indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)

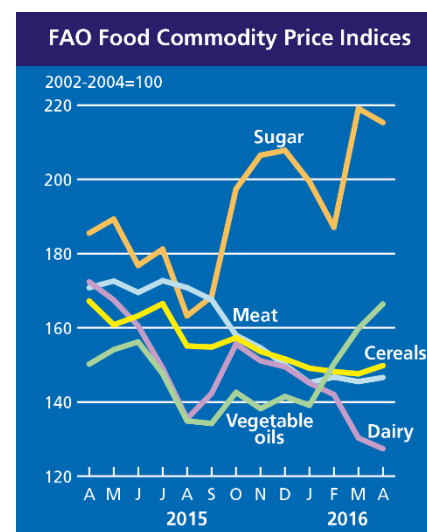
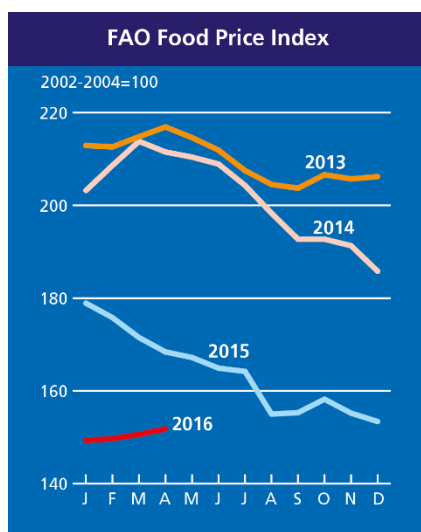


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne) (.....)							
Wheat (US No. 2, HRW)	02-May	199	199	205	223	-0.3%	-11.1%
Maize (US No. 2, Yellow)	02-May	171	166	157	167	3.1%	2.6%
Rice (Thai 100% B)	28-Apr	390	383	378	400	1.8%	-2.5%
Soybeans (US No.2, Yellow)	02-May	399	386	351	388	3.4%	2.9%

The **FAO Food Price Index (FFPI)** averaged 151.8 points in April 2016, up 1.1 points (0.7 percent) from March, but almost 10 percent below its April 2015 level. A relatively strong rise in vegetable oil quotations coupled with a more modest gain in international prices of cereals more than offset a decline in dairy and sugar prices. The small increase in April represented a third month of gradual rise in the value of the FFPI.

www.fao.org/worldfoodsituation/foodpricesindex



FAO food price indices

Food Price Index		Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100) (.....)						
2015	April	168.4	170.8	172.4	167.2	185.5
	May	167.2	172.6	167.5	160.8	189.3
	June	164.9	169.5	160.5	163.2	176.8
	July	164.2	172.7	149.1	166.5	181.2
	August	155.0	170.8	135.5	155.1	163.2
	September	155.3	167.6	142.3	154.8	168.4
	October	158.2	158.0	155.6	157.3	197.4
	November	155.2	154.6	151.1	153.6	206.5
2016	December	153.4	150.0	149.5	151.6	207.8
	January	149.3	145.2	145.1	149.1	199.4
	February	149.7	146.7	142.0	148.2	187.1
	March	150.6	145.5	130.3	147.6	219.1
	April	151.8	146.6	127.4	149.8	215.3

Futures markets

Futures Prices – nearby

	Apr-16 Average	% Change	
		M/M	Y/Y
Wheat	173	1.6%	-6.2%
Maize	147	2.6%	-0.5%
Rice	223	-1.2%	-1.2%
Soybeans	349	6.8%	-2.3%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Apr-16	Mar-16	Apr-15
Wheat (Nearby)	23.7	18.4	34.9
Maize (May)	19.4	11.3	23.5
Rice (Nearby)	20.6	23.7	22.0
Soybeans (Nearby)	12.5	10.8	14.9

Futures prices

Prices for wheat, maize and soybeans rose for the second month in a row after reaching near-term lows around the beginning of March. Soybean prices increased the most at 7 percent m/m with levels approaching the highs seen in July and August 2015. Improving export prospects, particularly with regard to China, and a projected drop in Argentina's soybean crop were factors most cited for the price surge. Maize and wheat prices increased more modestly between 1 and 2 percent, reflecting less concern about supplies, which appear to be adequate. However, US maize is rumored to have been shipped to Brazil following its drop of import tariffs to non-Mercosur countries on account of its shrinking maize crop. Stronger US economic data and stabilized crude oil prices may have helped support prices. Although markets typically trade with a "weather premium" at this time of year, they have not been subject to adverse planting conditions thus far. Conversely, rice prices fell by about 2 percent.

Volumes and volatility

Volumes for wheat, maize and soybeans surged m/m, rising between 40 and 55 percent from last month's low levels. Open Interest also rose, particularly for soybeans. Both implied volatility and historical volatility increased m/m but were lower y/y.

Basis levels

Basis levels for wheat, maize and soybeans remained weak, even as the US export market saw improvement in sales and inspections. Due in part to increased cash sales (in response to higher futures prices), interior levels were unchanged and in some areas lower. The USDA quoted Iowa maize and soybean basis levels at farm-gate at USD 15 and USD 27 per tonne below respective May futures. In Illinois, basis levels were higher but on average also discounted to futures prices. Wheat basis levels into northeastern mills were steady. Transportation levels remained subdued compared to years past but barge freight rose slightly m/m.

Forward curves

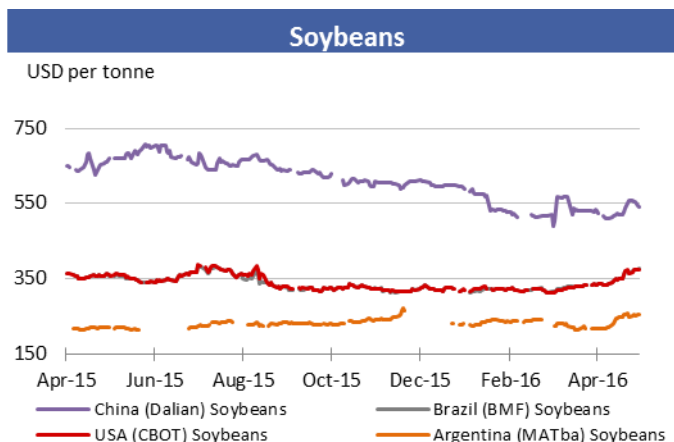
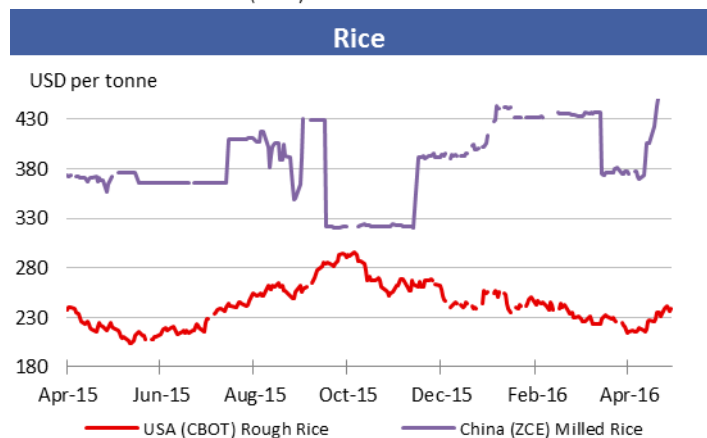
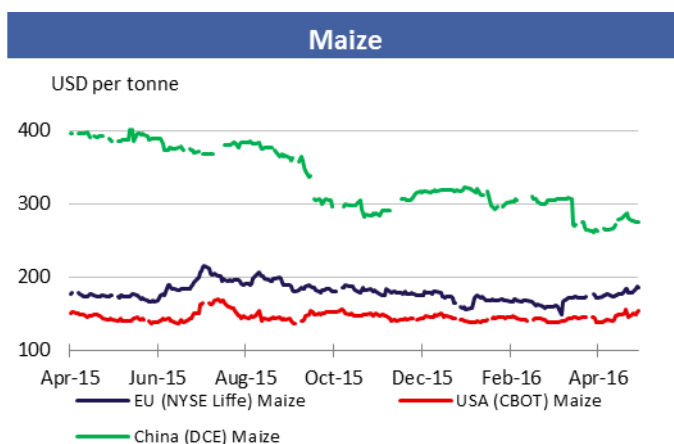
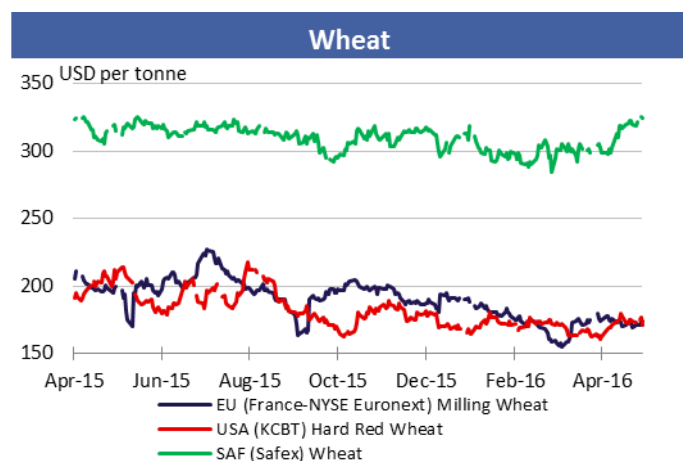
Forward curves for maize and soybeans showed a nearby tightening to deferred months. Soybean prices for May delivery inverted over the November harvest month delivery for the first time this crop year. Despite weak basis levels, which normally cause forward curves to relax, some grain traders were betting that US soybean carryover stocks could be lower than USDA projections. Wheat forward curves remained slack.

Investment flows

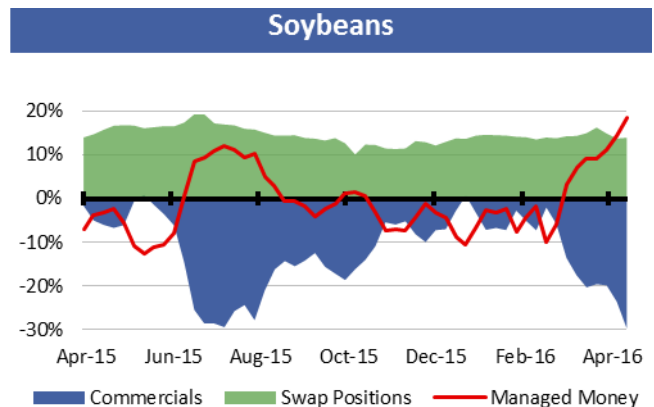
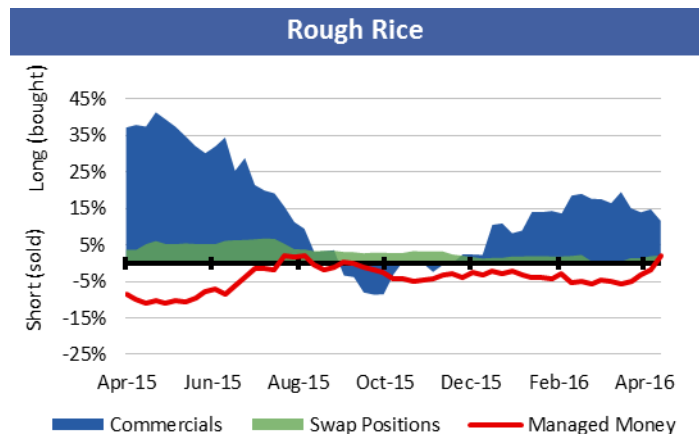
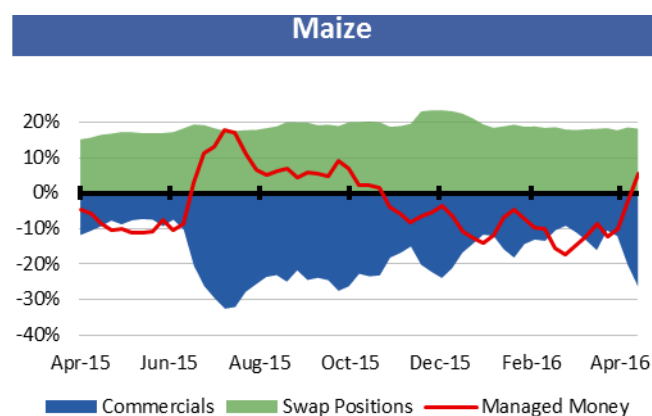
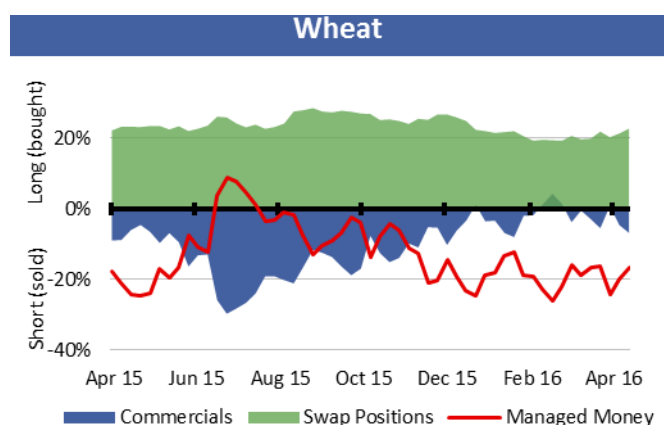
CFTC data showed extremely large realignments of positions between commercials and managed money. During the first three weeks of April in maize for example, managed money made net purchases of 225 000 contracts (the equivalent of over 28 million tonnes), reversing its short position to long while commercials increased their short positions by nearly the same. In wheat, during the week of April 19, managed money increased its net shorts by 37 000 contracts - a weekly record change for that commodity. Soybeans flows showed a similar position exchange as commercials became increasingly short and managed money increasingly long. If history is a guide, this type of trading would likely intensify if adverse weather arrives in the US markets during planting and growing seasons.

Market indicators

Daily quotations from leading exchanges - nearby futures

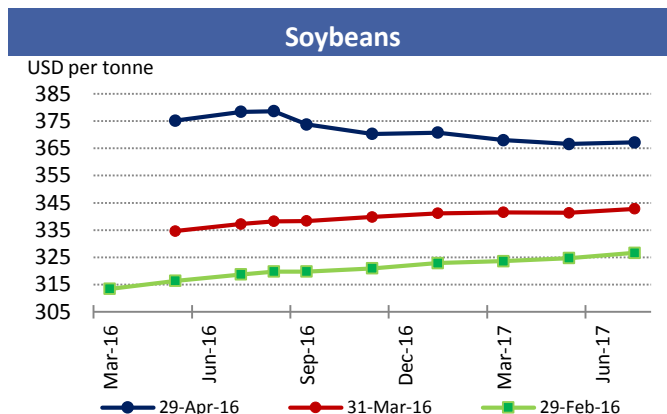
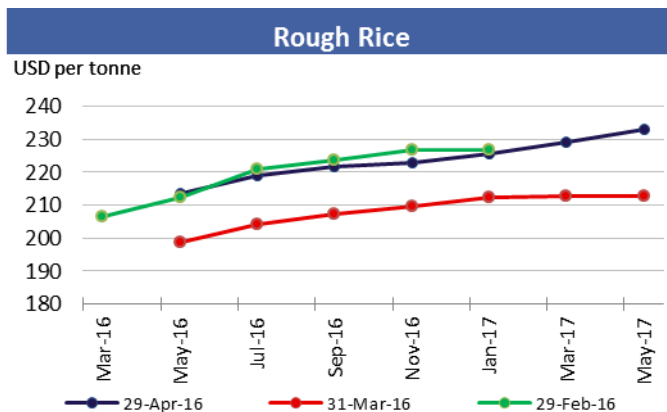
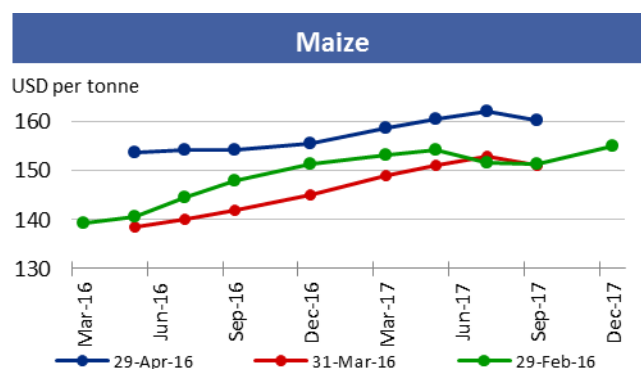
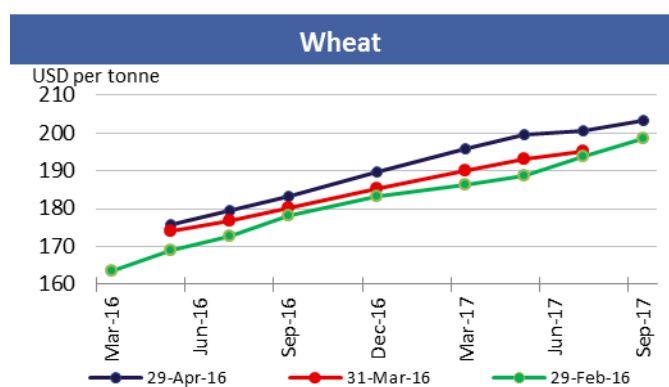


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

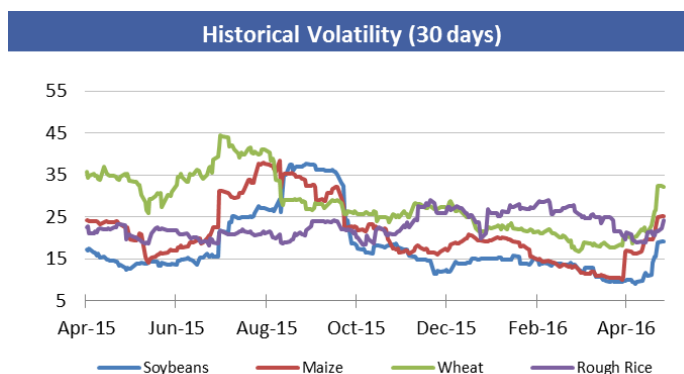
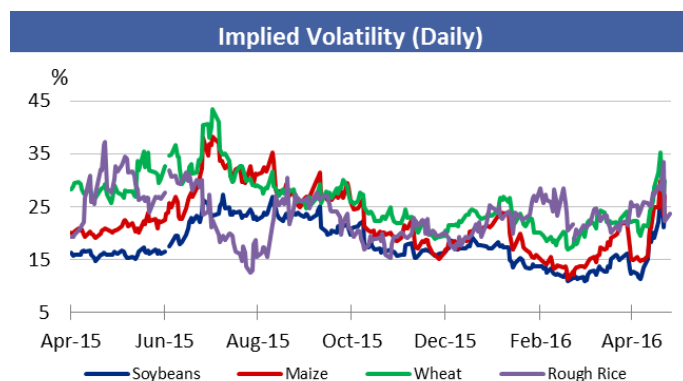


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

- **Ethanol production** slowed significantly in April putting the annualized pace of production at 14.5 billion gallons, down from a 15.3 billion gallon pace last month but up from the 14.3 billion gallon production pace in April of last year.
- **Maize prices** are up slightly in April on average, but have been rising throughout the month.
- **Ethanol futures prices** rose in April, pulled higher by sharp increases in the RBOB gasoline futures and expectations that lower production would tighten supplies. Ethanol remains at a premium to gasoline in the futures market. While not unheard of, the persistence of ethanol at a premium to gasoline on a volumetric basis has been unusual.
- With the strong increase in cash ethanol prices and more modest increases in maize prices, **ethanol margins** improved and reached the calculated "break-even" level, an improvement from the previous month, but well below levels seen a year ago.

Spot prices IA, NE and IL/eastern corn belt average	Apr 2016*	Mar 2016	Apr 2015
---	--------------	-------------	-------------

Maize price (USD per tonne)	140.07	138.38	147.24
DDGs (USD per tonne)	122.41	130.98	182.52
Ethanol price (USD per gallon)	1.44	1.30	1.51

Nearby futures prices

CME, NYSE

Ethanol (USD per gallon)	1.51	1.41	1.59
RBOB Gasoline (USD per gallon)	1.5	1.4	1.9
Ethanol/RBOB price ratio	103.4%	101.1%	84.4%

Ethanol margins

IA, NE and IL/eastern corn belt
average, USD per gallon)

Ethanol receipts	1.44	1.30	1.51
DDGs receipts	0.38	0.40	0.56
Maize costs	1.29	1.28	1.36
Other costs	0.55	0.55	0.55
Production margin	-0.03	-0.13	0.17

Ethanol production

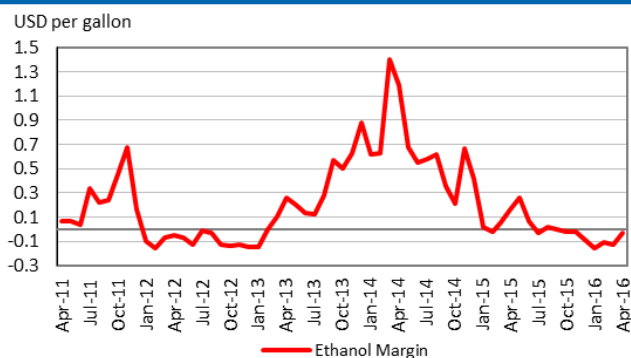
(million gallons)

Monthly production total	1,191	1,300	1,172
Annualized production pace	14,493	15,310	14,262

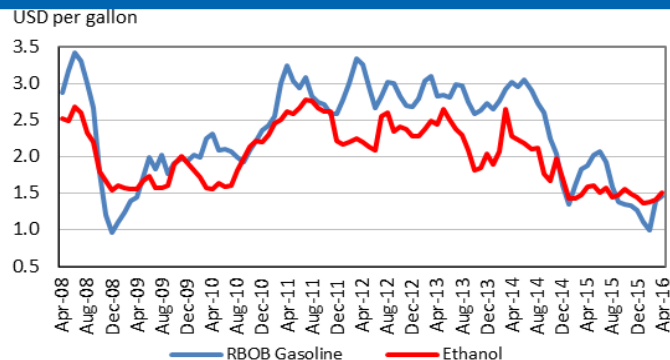
Based on USDA data and private sources

* Estimated using available weekly data to date.

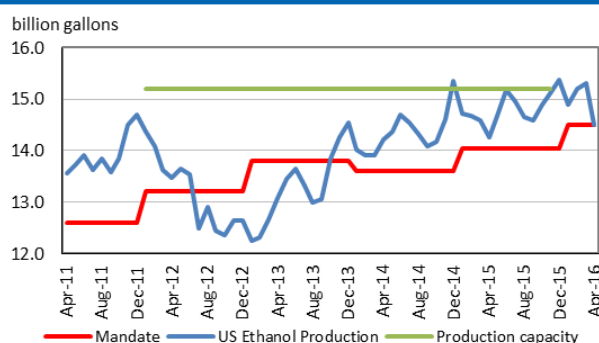
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

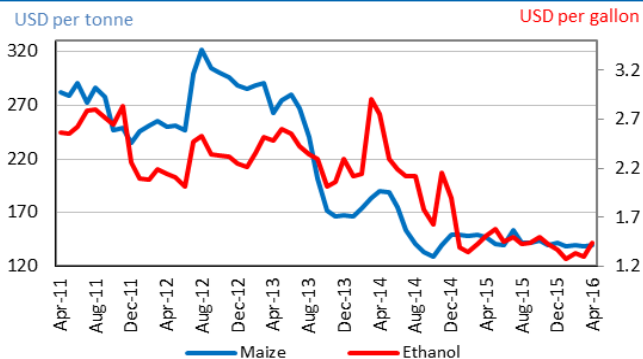


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

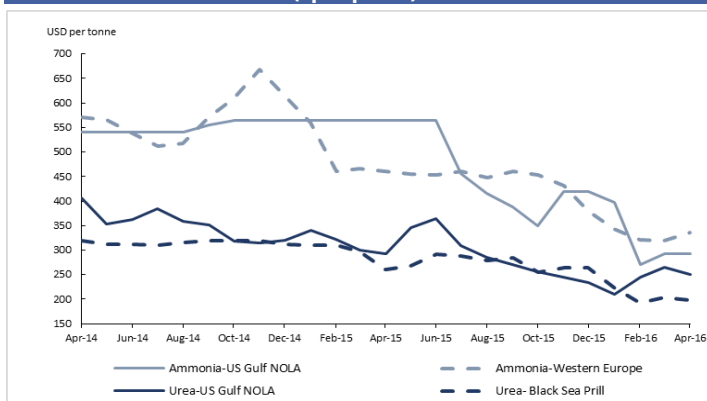
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

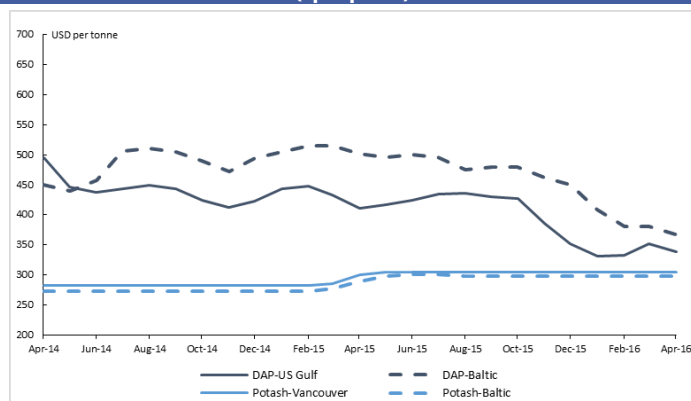
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

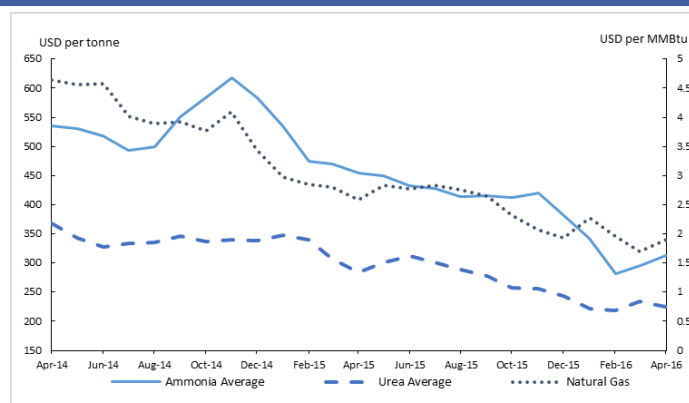
Ammonia and Urea (Spot prices)



Potash and Phosphate (Spot prices)



Ammonia Average, Urea Average and Natural Gas (Spot prices)



Charts Sources: Bloomberg

- Western Europe **Ammonia** m/m price increased 4.7 percent while US Gulf price showed no change.
- **Urea** prices of the US Gulf and Black Sea decreased 6.2 percent and 2.3 percent, respectively.
- Both US Gulf and Baltic **DAP** m/m price fell 3.7 and 3.3 percent, respectively. Baltic price reached its lowest level in the last 12 months.
- **Potash** prices remained unchanged.
- **Ammonia** average price has been gradually increasing from February's low level as European demand has been picking up.
- Though retail costs remained stable on seasonal demand, **Urea** average price fell. Improving monsoon rains in India, however, could help increase demand and keep prices relatively stable.
- **Natural Gas** price rose due to increasing crude oil prices and expectations of a possible La Niña effect causing colder-than-normal temperatures.

Region	March average	March std. dev	% change previous month	% change previous year	12-month high	12-month low
Ammonia-US Gulf NOLA	292.0	-	-	-48.3%	565.0	271.0
Ammonia-Western Europe	335.0	10.8	4.7%	-27.2%	460.0	320.0
Urea-US Gulf	249.5	8.6	-6.2%	-14.6%	363.6	210.0
Urea-Black Sea	198.8	2.5	-2.3%	-23.6%	292.0	193.3
DAP-US Gulf	338.3	9.6	-3.7%	-17.8%	435.8	330.4
DAP-Baltic	367.5	5.0	-3.3%	-26.7%	501.3	367.5
Potash-Baltic	298.0	-	-	-	300.0	288.5
Potash-Vancouver	305.0	-	-	-	305.0	300.0
Ammonia Average	313.3	3.7	6.3%	-31.0%	454.4	282.1
Urea Average	224.4	2.0	-3.9%	-20.9%	311.4	219.2
Natural Gas	1.9	0.1	11.9%	-26.2%	2.8	1.7

Source: Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

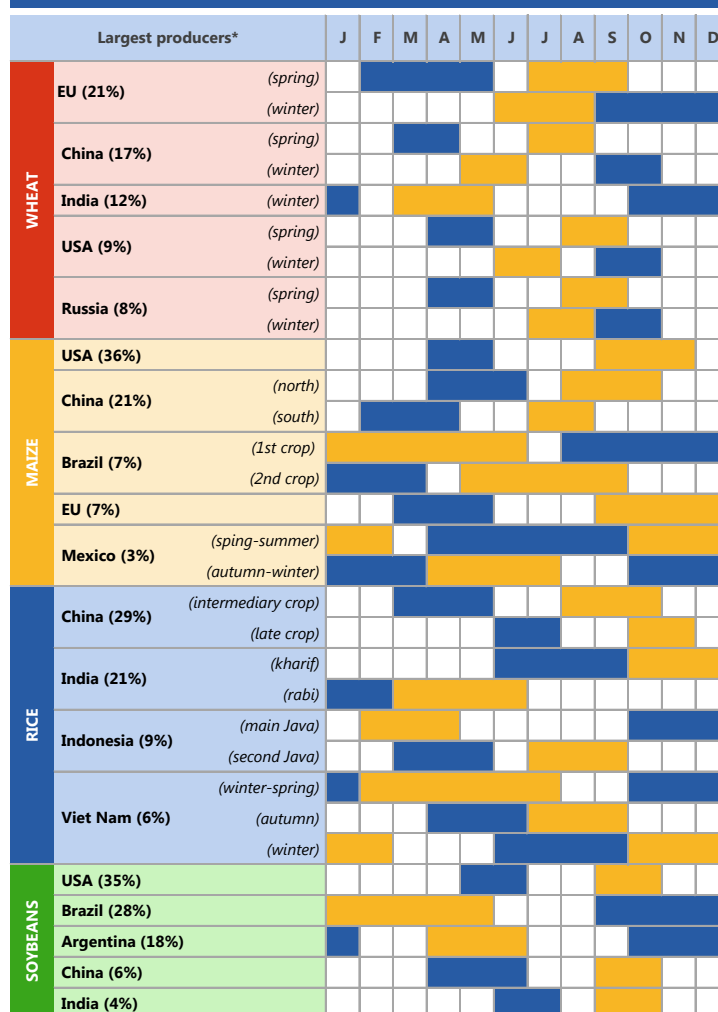
Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

AMIS Crop Calendar

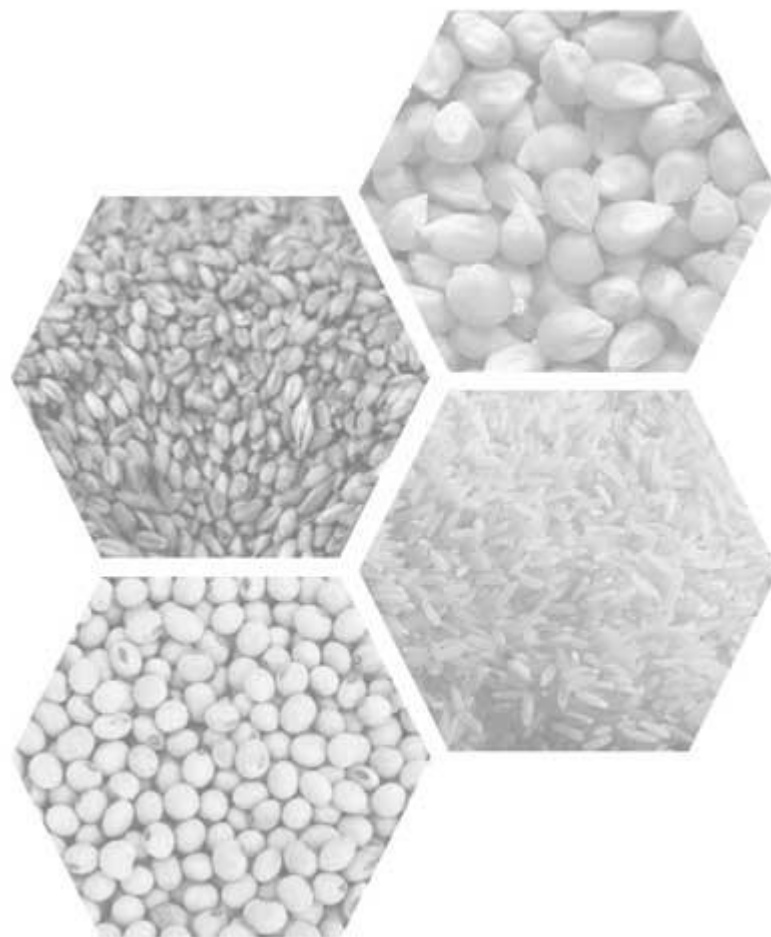


* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

2016 Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December



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